[3]Since margins on futures represent only a small fraction of their assets under management, CTAs will typically earn interest income close to the T-bill rate. Therefore, only the returns in excess of the T-bill rate represent the alpha provided by the CTA.

[4]This interview was conducted in May 2011.

[5]Colm O'Shea (Chapter 1) was another trader who cited this same event as being particularly critical.

[6]A gate is a common provision in hedge fund prospectuses that allows the fund to curtail total investor redemptions beyond some specified amount (e.g., 10 percent of assets under management per quarter). If investor redemptions exceed the gate threshold, and the gate provision is enforced, then the hedge fund would only meet investor redemptions pro rata up to the specified maximum redemption level for that redemption period. The unmet portion of redemption requests would be filled pro rata in subsequent redemption periods within the same gate provisions, until redemptions were totally fulfilled. When a gate is enacted, it can sometimes take investors one or more years to receive all their money back. During the financial meltdown of late 2008 to early 2009, an unusually large number of hedge funds enforced gate provisions, as there were widespread investor redemptions due to the liquidity crunch and general market panic.